Aga Khan University Examination Board

Notes from E-Marking Centre on SSC-I Principles of Accounting Examination May 2018

Introduction:

This document has been produced for the teachers and candidates of the Secondary School Certificate (SSC) Part I (Class IX) subject in Principles of Accounting. It contains comments on candidates' responses to the 2018 SSC-I Examination, indicating the quality of the responses and highlighting their relative strengths and weaknesses.

E-Marking Notes:

This includes overall comments on candidates' performance on every question and *some* specific examples of candidates' responses which support the mentioned comments. Please note that the descriptive comments represent an overall perception of the better and weaker responses as gathered from the e-marking session. However, the candidates' responses shared in this document represent some specific example(s) of the mentioned comments.

Teachers and candidates should be aware that examiners may ask questions that address the Student Learning Outcomes (SLOs) in a manner that require candidates to respond by integrating knowledge, understanding and application skills they have developed during the course of study. Candidates are advised to read and comprehend each question carefully before writing the response to fulfil the demand of the question.

Candidates need to be aware that the marks allocated to the questions are related to the answer space provided on the examination paper as a guide to the length of the required response. A longer response will not in itself lead to higher marks. Candidates need to be familiar with the command words in the SLOs which contain terms commonly used in examination questions. However, candidates should also be aware that not all questions will start with or contain one of the command words. Words such as 'how', 'why' or 'what' may also be used.

General Comments:

It was generally felt that candidates' lack basic accounting knowledge necessary to answer these questions. Most candidates performed poorly in questions that were related to theoretical part of the paper. However, some candidates produced good responses to these questions. In addition, it seemed that the candidates were not able to comprehend the requirement of the question and produced things that were not required resulting in time lapse and were unable to perform well.

Note: Candidates' responses reproduced in this report have not been corrected for grammar, spelling, format or factual information.

Detailed Comments:

Constructed Response Questions (CRQs)

Question 1:

1. Mr Ali started business with cash investment of Rs 150,000.
2. He bought merchandise from Haroon & Co. for Rs 55,000.
3. He purchased supplies on cash for Rs 15,000.
4. He made cash sales of Rs 45,000.
5. He sold goods to Alpha Traders for Rs 45,000.

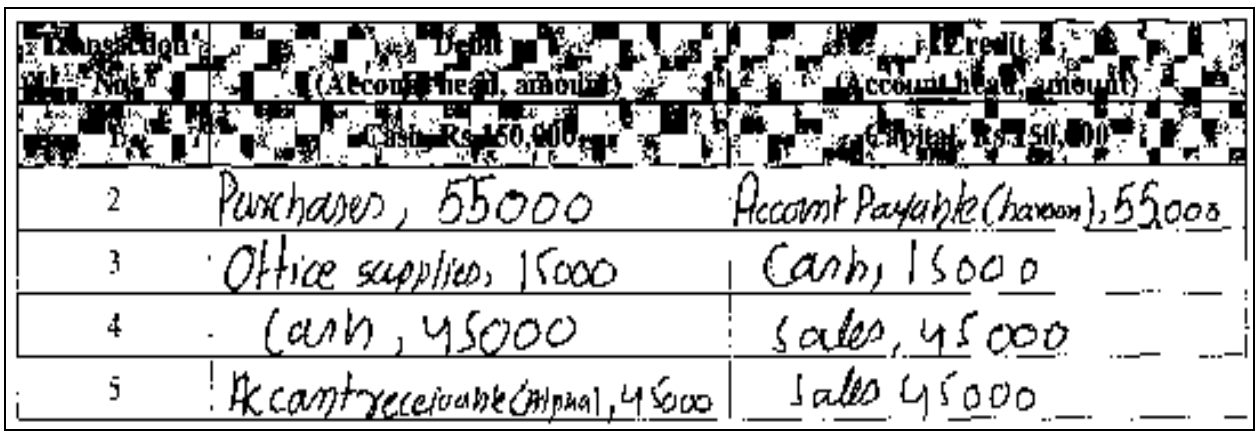
Complete the given table by applying the rules of debit and credit on the above business transactions.

(**Note**: First transaction has been done for your assistance.)

Transaction No.	Debit (Account head, amount)	Credit (Account head, amount)
1	**Cash, Rs 150,000**	**Capital, Rs 150,000**
2		
3		
4		
5		

Better responses showed that the candidates knew the concept of double entry recording. Some responses were those in which the candidates have mentioned the amount as well as account head. Few candidates also mentioned the effect in the form of increase and decrease.

Example:



Transaction No.	Debit (Account head, amount)	Credit (Account head, amount)
1	Cash, Rs 150,000	Capital, Rs 150,000
2	Purchases, 55000	Account Payable (Haroon), 55000
3	Office supplies, 15000	Cash, 15000
4	Cash, 45000	Sales, 45000
5	Ac cant receivable (Alpha), 45000	Sales 45000

Weaker responses showed that candidates were not able to understand what is required in the question, although the example for their support was given but they wrote incomplete answers, i.e. either amount or the account head. Few responses mentioned the single entry, i.e. either debit side or credit side that reflected that they did not have proper understanding of rules of dual entry.

Example:

Transaction No.	Debit (Account head, amount)	Credit (Account head, amount)
1	Cash, Rs 150,000	Capital, Rs 150,000
2	55,000	
3		15,000
4	45,000	
5		45,000

Question 2:

Differentiate between book keeping and accounting.

S. No.	Book Keeping	Accounting
1		
2		

Better responses highlighted correct differences such as 'art of recording' and 'art of summarizing, classifying and interpreting financial information.' Few responses mentioned that book keeping is a part of accounting and they also mentioned the stages involved in both book keeping and accounting.

Example:

S. No.	Book Keeping	Accounting
1	Book keeping is an art of recording business transaction.	Accounting is an art of recording, classifying and summerizing the business transaction and calculating the result in term of money.
2	It is an elementary stage of recording the business transaction.	It is a systematic and financial stage of record keeping.

Weaker responses showed that students barely focused on the theoretical concept. Most of the candidates were not able to differentiate between the two concepts. Few candidates only mentioned that book keeping is the basic step whereas accounting is the final stage. Some students did not attempt this question which reflected that they did not have the understanding of the given concepts.

Example:

S. No.	Book Keeping	Accounting
1	Book keeping is old method of recording transactions	Accounting is the modern method of recording transactions
2	Less efficient as the record can be erased easily either by misplacing of book or any other reason	Much more effective efficient way as transactions are permanently recorded in the computer or in history of transactions.

Question 3:

Review the given trial balance. It has few posting errors in the nature of account.

S. No.	Account Title	Debit	Credit
1	Cash	10,000	
2	Sales revenue	75,000	
3	Purchases	65,000	
4	Sales return		2,500
5	Furniture	95,000	
6	Trade payables (accounts payable)	1,500	
7	Other income		5,000
8	Salaries expense	12,500	
9	Insurance expense		20,000
10	Drawing		1,500
11	Capital		130,000
12	Trade receivables (accounts receivable)	15,000	
13	Bank loan	10,000	
	Total	**284,000**	**159,000**

Rectify the errors and prepare the corrected trial balance.

S. No.	Account Title	Debit	Credit

Better responses mentioned the correct accounting heads in the correct column, i.e. trade payables, bank loan, drawings, insurance expense, sales and sales return. This reflected that these candidates have clear understanding of the accounting heads and their nature. These responses also indicated that the candidates have appropriate understanding of accounting equation and trial balance.

Example:

S. No	Account Title	Debit	Credit
1)	Cash	10,000	
2)	Accounts Receivable	15,000	
3)	Furniture	75,000	
4)	Accounts Payble		1,500
5)	Bank loan		10,000
6)	Capital		1,30,000
7)	Purchases	65,000	
8)	Salaries Expense	12,500	
9)	Insurance Expense	20,000	
10)	Sales Revenue		7,5000
11)	Other income		5,000
12)	Sales return	2,500	
13)	Drawing	1,500	
	Total/ Balance	2,21,500	2,21,500

Weaker responses reflected that the candidates were unable to identify the nature of accounts. Few responses copy pasted the question without using the concept of accounting equation. This reflected inappropriate knowledge of the topic. Few responses posted the amounts on the opposite side which reflected that the candidates were confused in transferring of amounts to trial balance.

Example:

Sr.No	Account Title	Debit	Credit
1	Cash	10000	
2	Sales revenue	75000	
3	Purchases	[illegible]	65000
4	Sales return	2500	
5	Furniture	95000	
6	Trade payables (account payable)	1500	
7	Other Income		5000
8	Salaries expense	12500	
9	Insurance expense		20000
10	Drawing		1500
11	Capital		130000
12	Trade recievables (a/c receivable)	15000	
13	Bank loan	10000	
	Total	221500	221500

Question 4:

The following account balance has been extracted from the books of Nadeem Traders for the year ended December 31, 2017.

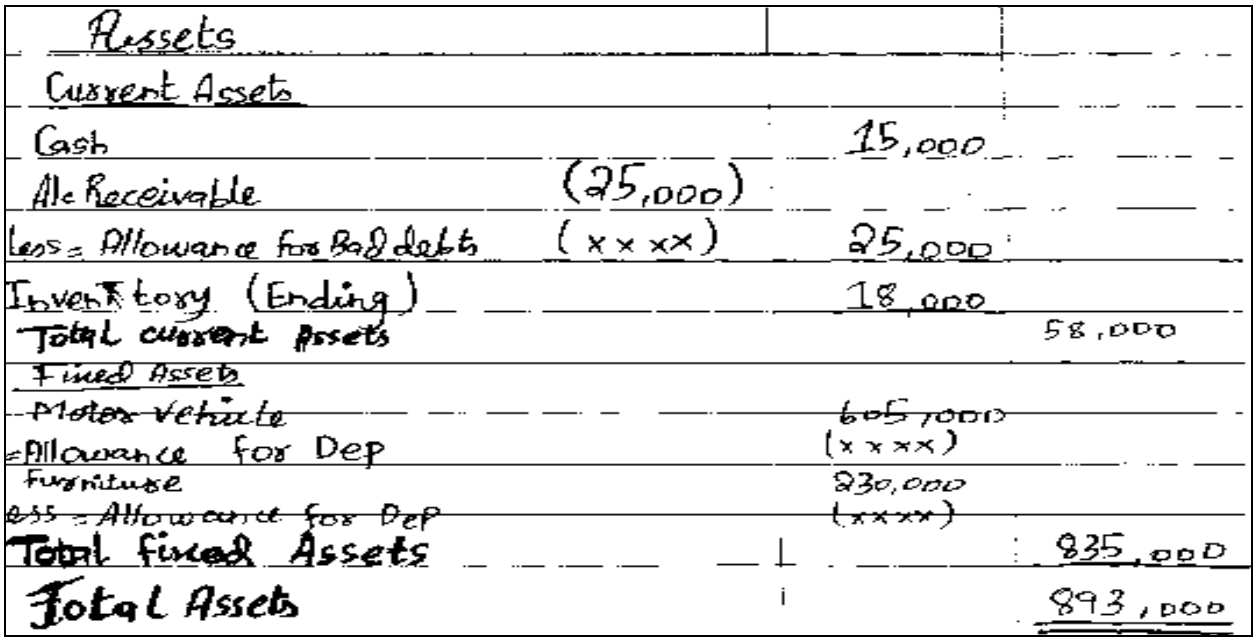
Particulars	Amount (Rs)
Cash	15,000
Trade receivables (accounts receivable)	25,000
Inventory January 01, 2017	13,000
Purchases	75,000
Sales revenue	176,000
Motor Vehicle at cost	605,000
Trade payables (accounts payable)	92,000
Bank overdraft	5,000
Furniture	230,000
Capital	690,000

The inventory as on December 31, 2017 amounted to Rs 18,000.

Prepare the assets section of the statement of financial position (balance sheet) for Nadeem Traders as on December 31, 2017.

Better responses were those where candidates were able to draw up the required portion of the balance sheet with appropriate headings of current and non-current assets with proper classification. Few responses reflected that the candidates did not read the question and they drew up the complete balance sheet, which was not required.

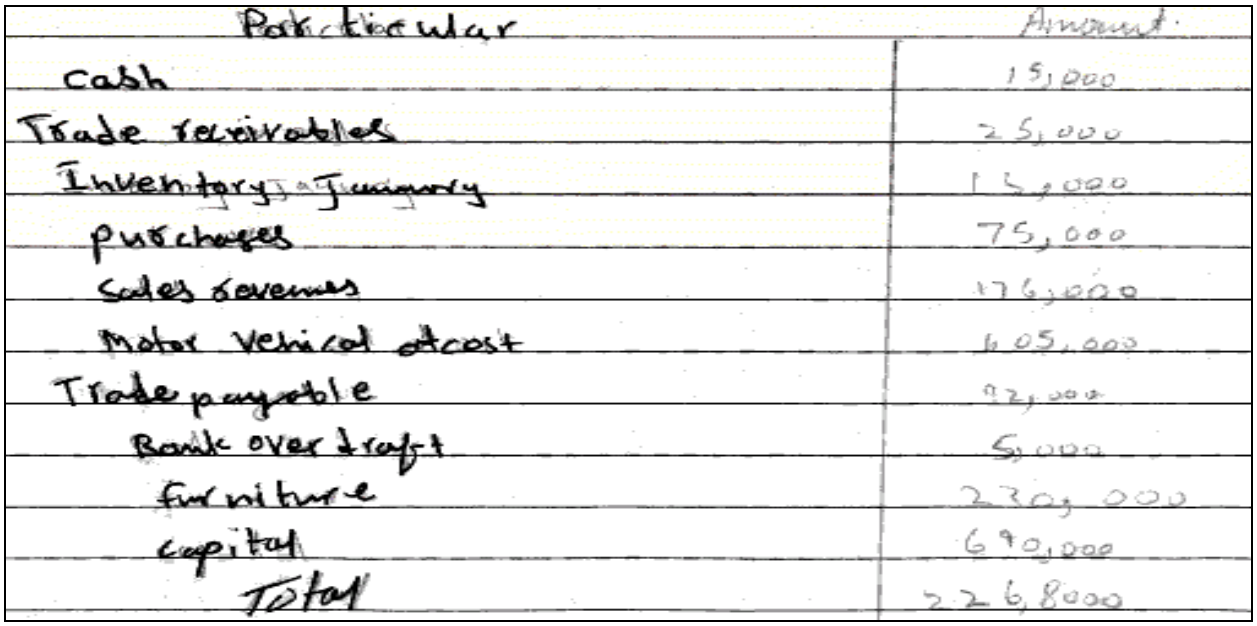
Example:



Assets			
Current Assets			
Cash		15,000	
Alc Receivable	(25,000)		
Less = Allowance for Bad debts	(xxxx)	25,000	
Inventory (Ending)		18,000	
Total current assets			58,000
Fixed Assets			
Motor Vehicle		605,000	
=Allowance for Dep		(xxxx)	
Furniture		230,000	
Less = Allowance for Dep		(xxxx)	
Total fixed Assets			835,000
Total Assets			893,000

Weaker responses could not classify different assets into the respective heads which showed lack of understanding of nature of various assets. Few responses classified current liabilities into current assets that reflected incorrect knowledge of accounting heads. Few candidates had no idea of balance sheet and they listed all the items without proper sequence or format.

Example:



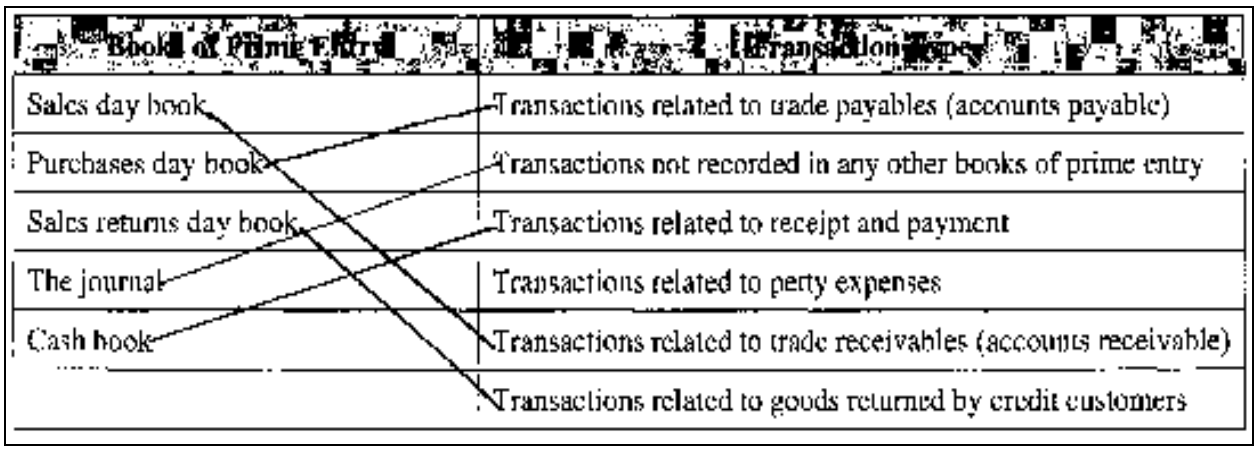
Particular	Amount
Cash	15,000
Trade receivables	25,000
Inventory: January	15,000
purchases	75,000
Sales Revenues	176,000
Motor Vehical at cost	605,000
Trade payable	92,000
Bank over draft	5,000
furniture	230,000
capital	690,000
Total	226,8000

Question 5:

Books of Prime Entry	Transaction Type
Sales day book	Transactions related to trade payables (accounts payable)
Purchases day book	Transactions not recorded in any other books of prime entry
Sales returns day book	Transactions related to receipt and payment
The journal	Transactions related to petty expenses
Cash book	Transactions related to trade receivables (accounts receivable)
	Transactions related to goods returned by credit customers

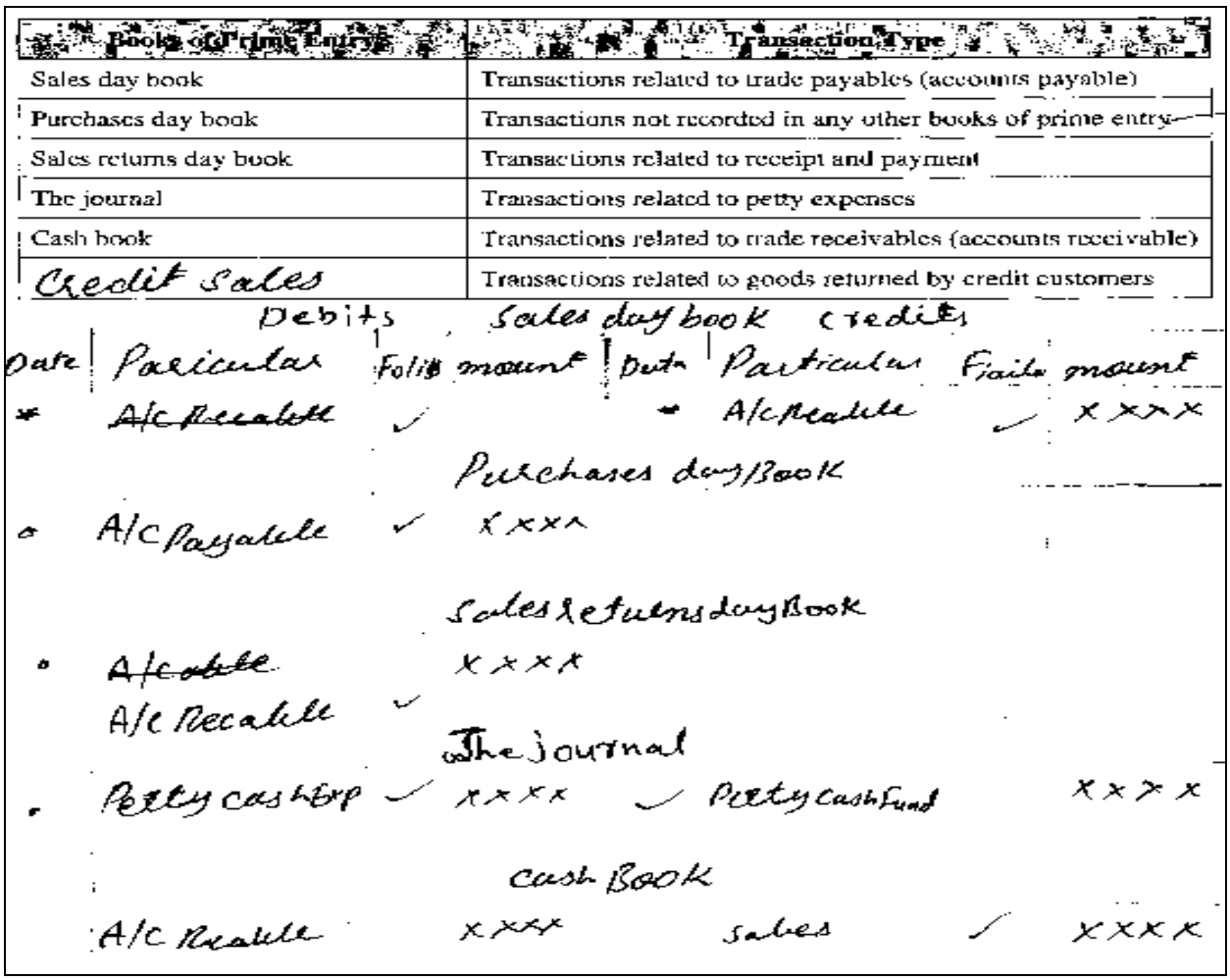
Better responses matched the books of accounts with correct type of transaction. Some responses indicated that the candidates were confused between cash book and petty cash book transaction so were unable to differentiate between petty cash book transaction and cash book transaction.

Example:



Weaker responses showed that the students were unable to comprehend the question. Some candidates, instead of matching the books, made the format of the given books. Some made the double entries of the transaction instead of matching it with the books.

Example:



Books of Prime Entry	Transaction Type
Sales day book	Transactions related to trade payables (accounts payable)
Purchases day book	Transactions not recorded in any other books of prime entry
Sales returns day book	Transactions related to receipt and payment
The journal	Transactions related to petty expenses
Cash book	Transactions related to trade receivables (accounts receivable)
Credit Sales	Transactions related to goods returned by credit customers

Debits — Sales day book — Credits

Date	Particular	Folio	Amount	Date	Particular	Folio	Amount
*	A/c Receivable	✓		*	A/c Receivable	✓	xxxx

Purchases day Book

o	A/c Payable	✓	xxxx

Sales & returns day Book

•	~~A/c Payable~~		xxxx
	A/c Receivable	✓	

The journal

•	Petty cash Exp	✓	xxxx	✓	Petty cash Fund	xxxx

Cash Book

	A/c Receivable	xxxx	Sales	✓	xxxx

Question 6:

The following ledgers have been taken from the books of Capital Real Estate Agency for the month of February 2018.

Commission Income

			05.02.2018	Cash	16,000
			13.02.2018	Bank	68,000

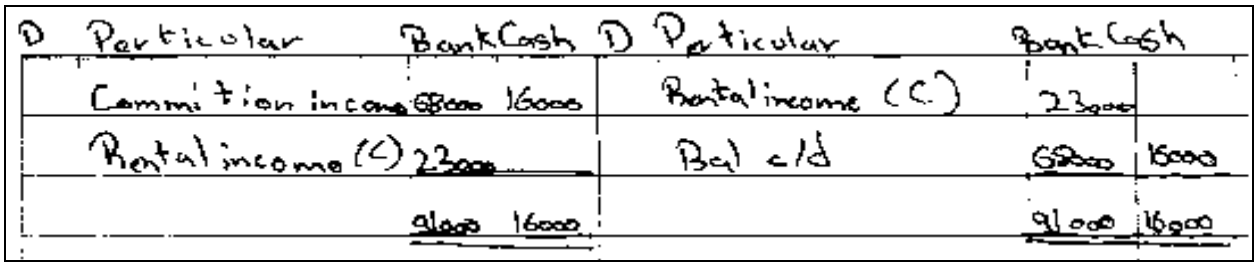
Rental Income

			26.02.2018	Bank	23,000
28.02.2018	Bank- Dishonoured	23,000			

Prepare two-column cash book for the month of February 2018 from the given ledgers. Balance the cash book and bring down the balance on March 01, 2018.

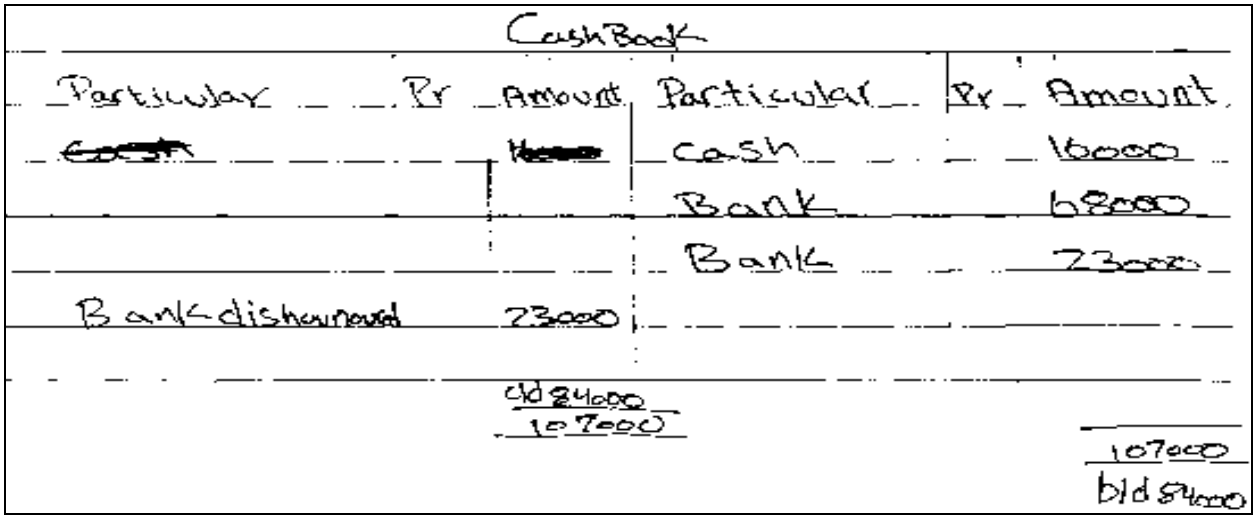
Better responses correctly posted the given amounts from different accounts to cash book. These responses indicated that the students have understanding of reading and managing an account. This also indicated that candidates have the knowledge of the format of cash and they also know how the cycle followed in posting an amount in accounting.

Example:



Weaker responses showed that candidates failed to understand the accounts or the given transactions that is why they were unable to score good marks. Few responses indicated that the candidates had no idea of the format of cash book and posted the amounts incorrectly to cash ledger.

Example:



Question 7:

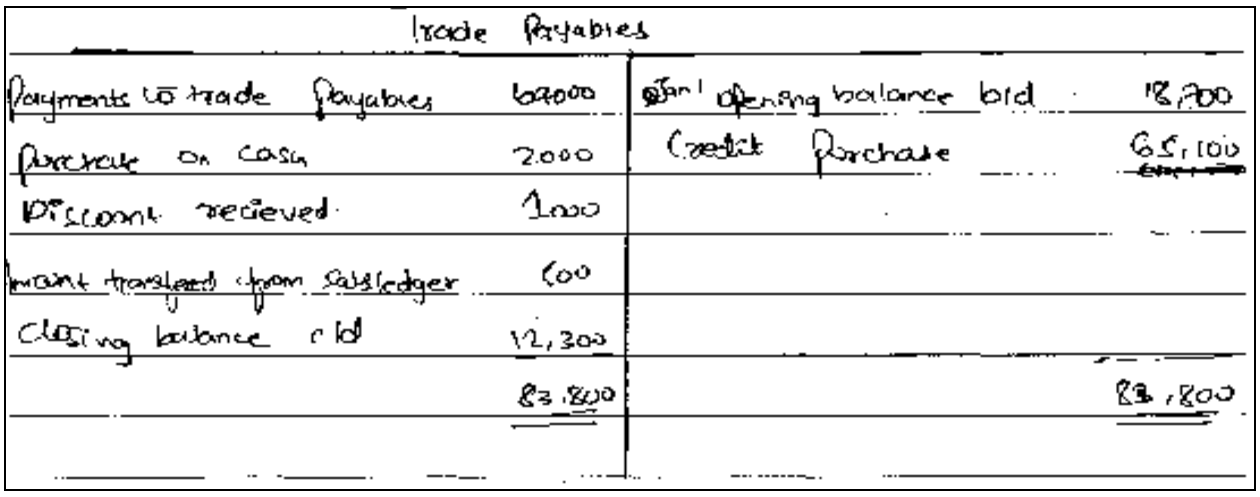
Following particulars have been taken from the records of a trader for the year ended December 31, 2015.

		Amount (Rs)
Trade receivables (accounts receivable)	Jan 01, 2015	17,500
Trade receivables (accounts receivable)	Dec 31, 2015	13,300
Trade payables (accounts payable)	Jan 01, 2015	18,700
Trade payables (accounts payable)	Dec 31, 2015	12,300
Receipts from customers		113,000
Receipts from cash sales		3,500
Payment to trade payables (accounts payable)		67,000
Purchase on cash		2,000
Discount received		1,000
Discount allowed		1,200
Bad debts written off		1,500
Amount transferred from sales ledger to purchase ledger		500

Calculate total purchases for the year ended December 31, 2015.

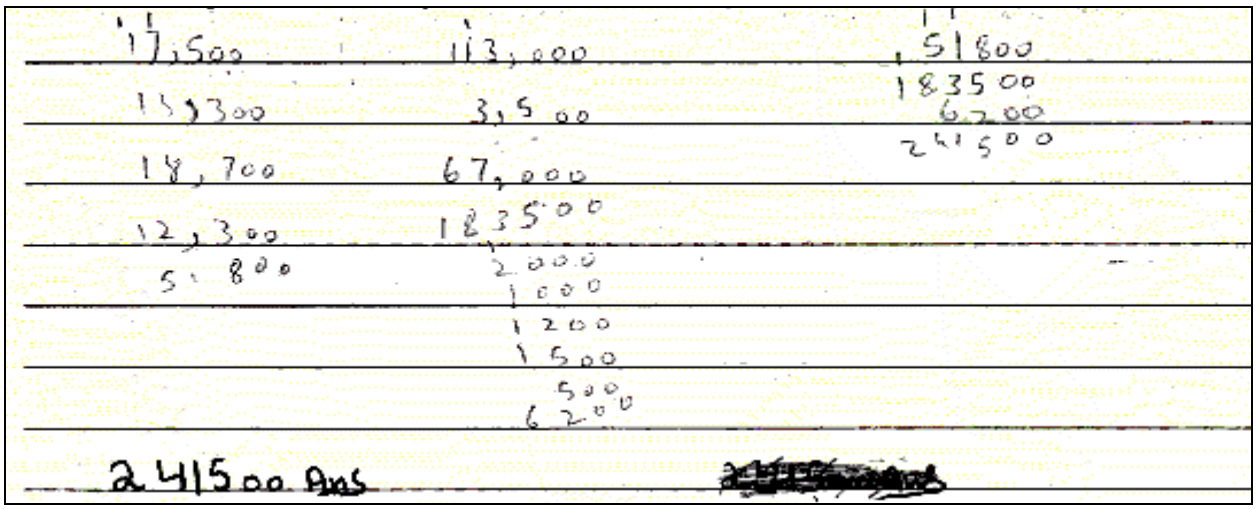
Better responses clearly provided the T-account for the calculation of credit purchases. These responses properly classified and posted all the items required for computing credit purchases. Few responses wrongly classified cash purchases in the account and calculated the wrong amount of credit purchases. Few candidates computed the amount of credit purchases with the help of statement and were awarded marks too.

Example:



Weaker responses were not able to classify the items correctly into the ledger, hence, were not able to calculate the correct amount of credit purchase. Few candidates mixed the items of receivables with payables and calculated the wrong amount. Some response indicated lack of understanding of the concept tested, i.e. control accounts and did not give correct computation or format.

Example:



Question 8:

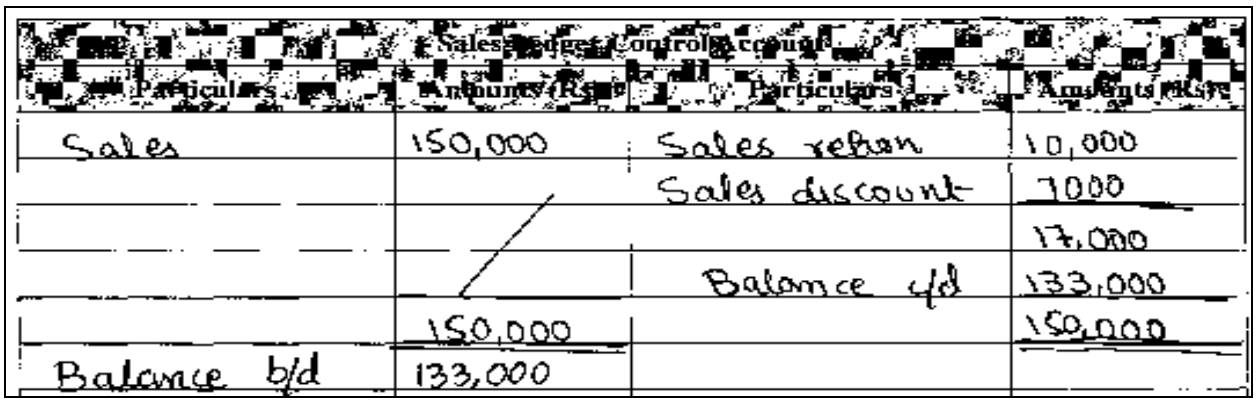
The following are the transactions of Akber Traders for the month of December 2017.

Credit sales for the month	Rs 150,000
Sales returns	Rs 10,000
Sales discount	Rs 7,000
Purchase returns	Rs 2,000

Record the above transactions in the given sales ledger control account and calculate the closing balance.

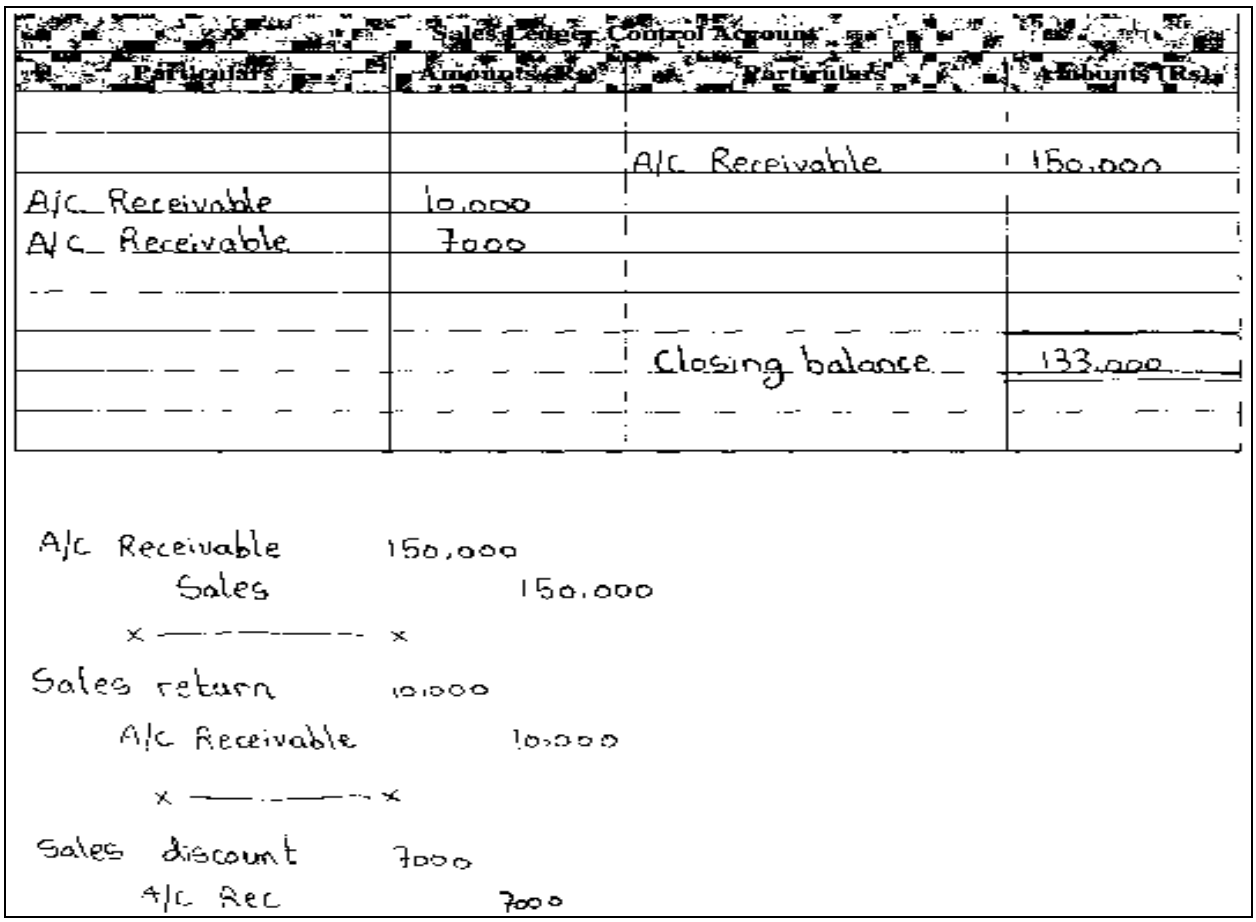
It was an easy question and students attempted this fairly well. *Better responses* posted the amounts correctly to the given ledger and they did the correct footing and balancing of the ledger to calculate the required amount.

Example:



Weaker responses were the ones where the candidates were unable to meet the demand of the asked questions. They mentioned the amount on the opposite side, indicating that they are not clear about the posting of transaction to ledger.

Example:



Sales Ledger Control Account

Particulars	Amounts (Rs)	Particulars	Amounts (Rs)
		A/c Receivable	150,000
A/c Receivable	10,000		
A/c Receivable	7000		
		Closing balance	133,000

A/c Receivable 150,000
Sales 150,000

Sales return 10,000
A/c Receivable 10,000

Sales discount 7000
A/c Rec 7000

Question 9:

On January 01, 2014, Al-Isaar Company purchased machinery at a list price for Rs 1,500,000 with estimated scrap value of Rs 100,000 and useful life of 10 years.

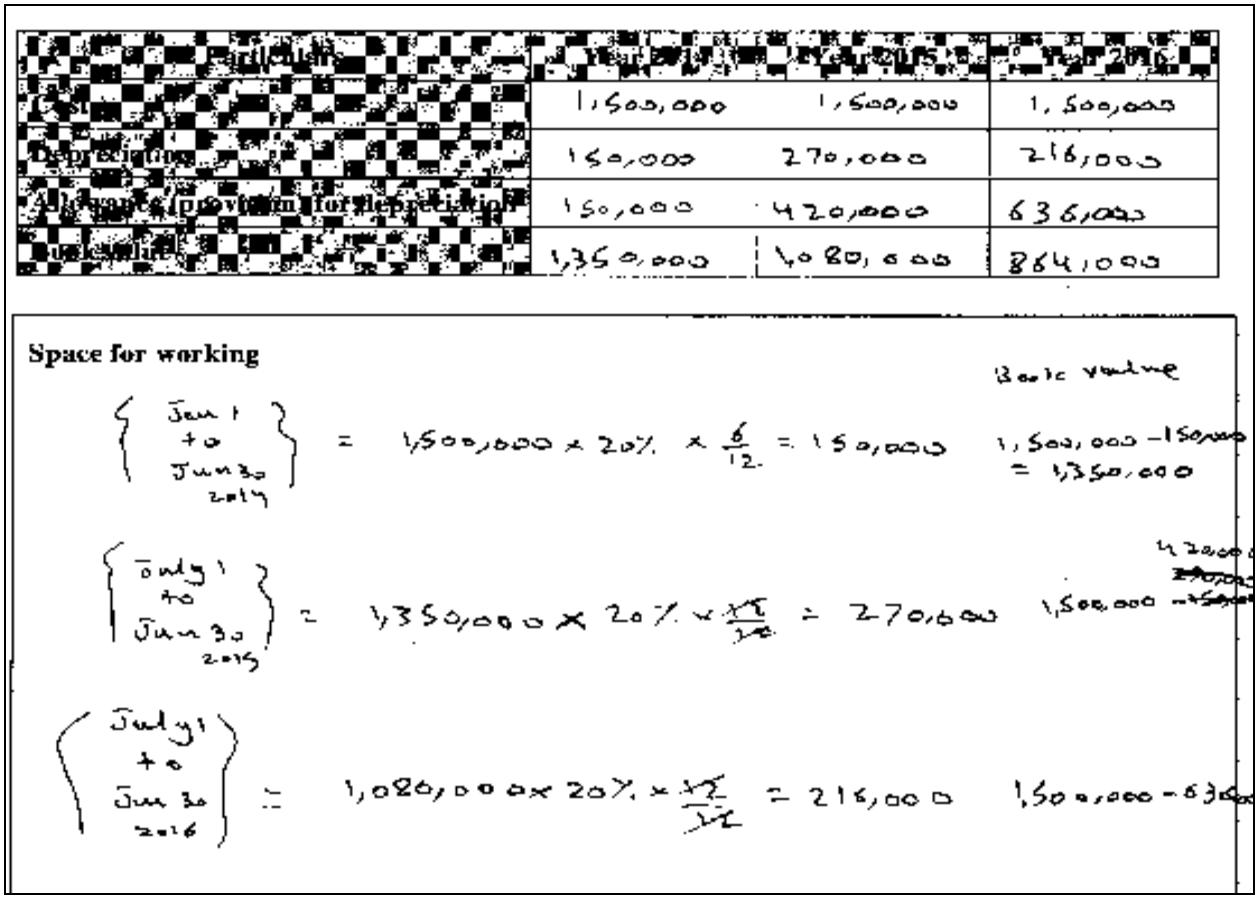
The company uses 20% diminishing balance for recording depreciation and the accounting year of the company ends on June 30 each year.

Compute the given particulars for the year 2014, 2015 and 2016, taking the annual depreciation into consideration.

Particulars	Year 2014	Year 2015	Year 2016
Cost			
Depreciation			
Allowance (provision) for depreciation			
Book value			

Better responses showed very good understanding of depreciation and its working. These responses also took the concept of time period in consideration for calculating the value of depreciation. Few responses indicated that students did not read the question correctly and ignored the date of accounting period end so were penalised.

Example:



Particulars	Year 2014	Year 2015	Year 2016
Cost	1,500,000	1,500,000	1,500,000
Depreciation	150,000	270,000	216,000
Allowance (provision) for depreciation	150,000	420,000	636,000
Book value	1,350,000	1,080,000	864,000

Space for working

Book value

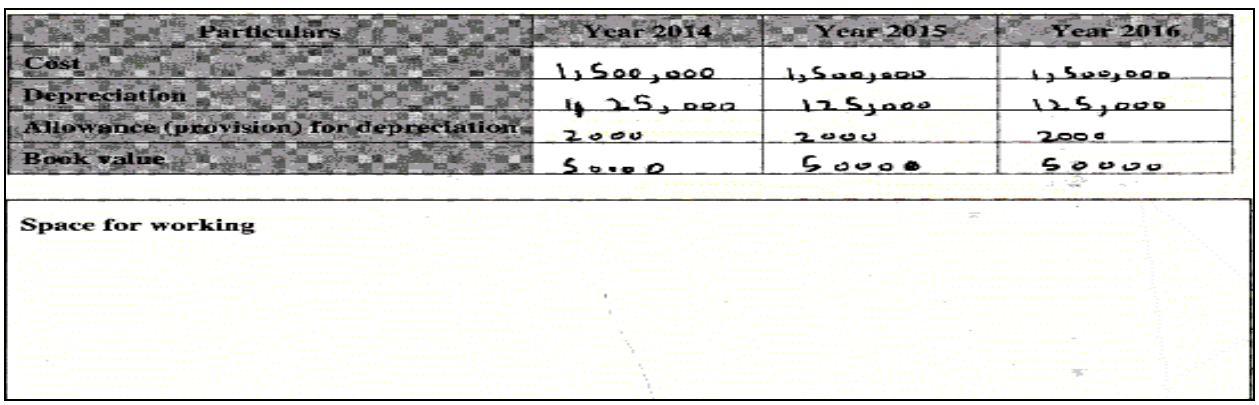
{ Jan 1 to Jun 30 2014 } = 1,500,000 × 20% × 6/12 = 150,000 — 1,500,000 − 150,000 = 1,350,000

{ July 1 to Jun 30 2015 } = 1,350,000 × 20% × 12/12 = 270,000 — 1,500,000 − 420,000

{ July 1 to Jun 30 2016 } = 1,080,000 × 20% × 12/12 = 216,000 — 1,500,000 − 636,000

Weaker responses were unable to understand the question properly, as they used straight line method of calculating depreciation instead of diminishing balance method. Few responses calculated the amount of depreciation but due to lack of understanding of allowance for depreciation and book value were not able to score good marks in this question.

Example:



Particulars	Year 2014	Year 2015	Year 2016
Cost	1,500,000	1,500,000	1,500,000
Depreciation	125,000	125,000	125,000
Allowance (provision) for depreciation	2000	2000	2000
Book value	50000	50000	50000

Space for working

Question 10:

Al-Furqan Traders follows a policy that all trade receivables (accounts receivable) older than 6 months will be considered as bad debts and should be written off. The rate of allowance (provision) for doubtful (bad) debts against trade receivables (accounts receivable) is 25%.

The following balances were extracted from the statement of financial position (balance sheet) on January 01, 2016.

Trade receivables (accounts receivable) Rs 150,000

Allowance (provision) for doubtful (bad) debts Rs 37,500

Considering the given information, prepare the general entries for each of the following scenarios.

(**Note:** Each scenario should be treated independently.)

Scenario 1

On February 01, 2016, Al-Furqan Traders sold goods worth Rs 60,000 to Shams Limited on account. On March 15, 2016, Al-Furqan Traders received Rs 55,000 from Shams Limited.

There were no further receipts from Shams Limited in the year.

Date	Particular	P.R.	Debit	Credit

Scenario 2

On December 01, 2016, Al-Furqan Traders received a cheque from a customer amounted to Rs 7,000.

Date	Particular	P.R.	Debit	Credit

Scenario 3

Balance of trade receivables (accounts receivable) account on December 31, 2016 was Rs 215,000.

Date	Particular	P.R.	Debit	Credit

Better responses indicated that the candidates had good knowledge of both computation and recording of doubtful debts. Few candidates made the correct entries but the amount in the last scenario was calculated wrongly which resulted in deduction of one mark.

Example:

There were no further receipts from Shams Limited in the year.

Date	Particulars	P.R.	Debit	Credit
March 15	Allowance for Bad debts		5000	
	A/C Rec			5000
	(To record The write off case)			

Scenario 2 (2 Marks)

On December 01, 2016, Al-Furqan Traders received a cheque from a customer amounted to Rs 7,000.

Date	Particulars	P.R.	Debit	Credit
Dec 1	Cash		7000	
	A/C Rec			7000
	(Cheque received from a customer)			

Scenario 3 (2 Marks)

Balance of trade receivables (accounts receivable) account on December 31, 2016 was Rs 215,000.

Date	Particulars	P.R.	Debit	Credit
Dec 31	Bad debts Exp		16250	
	Allowance for bad debts			16250
	(To record increase in bad debts)			

Weaker responses were mostly of TWO types. First type of responses made the correct entry but the amount calculated was wrong and the second type of responses made the wrong entry with incorrect amount.

Example:

There were no further receipts from Shams Limited in the year.

Date	Particular	P.R.	Debit	Credit
01-01-2016	Allowance for doubtful debts		60,000	
25-03-2016	A/c receivable			55,000

Scenario 2 (2 Marks)

On December 01, 2016. Al-Furqan Traders received a cheque from a customer amounted to Rs 7,000.

Date	Particular	P.R.	Debit	Credit
01-12-2016	A/c receivable		7000	
	Allowen for doubtful debts			7000

Scenario 3 (2 Marks)

Balance of trade receivables (accounts receivable) account on December 31, 2016 was Rs 215,000.

Date	Particular	P.R.	Debit	Credit
31-12-2016	A/c receivable		215,000	
	Allowence for doubtful debts			215,000